

The IMF's climate turn: Lending, debt, and extractivism

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Cover image: Communities living near gas flaring sites in the Ecuadorian Amazon. Photo by UDAPT, available on www.udapt.org.

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Acronyms

CBAM	Carbon Border Adjustment Mechanism
CPAT	Climate Policy Assessment Tool
DIGNAD	Debt-Investment-Growth and Natural Disasters model
DRC	Democratic Republic of the Congo
DSA	Debt Sustainability Analysis
EACOP	East African Crude Oil Pipeline
ECF	Extended Credit Facility
EFF	Extended Fund Facility
FDI	Foreign Direct Investment
GDP	Gross domestic product
GW	Gigawatt
IEO	Independent Evaluation Office
IMF	International Monetary Fund
IMF-ENV	IMF model integrating climate, energy and trade policies in a general-equilibrium framework
LNG	Liquefied natural gas
MW	Megawatt
ND-GAIN	Notre Dame Global Adaptation Initiative
NDC	Nationally Determined Contribution
RSF	Resilience and Sustainability Facility
SDR	Special Drawing Rights
SOE	State-Owned Enterprise
TAZARA	Tanzania–Zambia Railway Authority
UCT	Upper Credit Tranche
UNCTAD	United Nations Conference on Trade and Development
USAID	United States Agency for International Development
VAT	Value-Added Tax

Executive summary

Since 2020, the International Monetary Fund (IMF) has extended roughly \$400bn to nearly 100 countries. As of July 2026, 30 countries were implementing IMF programmes carrying policy conditionality, with at least 14 more seeking new arrangements. Against this backdrop, the IMF has also deepened its engagement on climate change. Since adopting its Climate Strategy in 2021, the Fund has expanded its analytical toolkit, incorporated climate risks into surveillance and debt analysis, and established the climate-oriented Resilience and Sustainability Facility (RSF).

These innovations are unfolding at a time when developing countries face mounting debt burdens, repeated climate shocks and acute external financing pressures. **Does IMF lending help countries reduce the structural sources of climate vulnerability, or does it restore short-term stability through policies and sectors that reproduce carbon- and nature-intensive development?** This report examines this question through case studies of Ecuador, Egypt, the Democratic Republic of the Congo (DRC), Tanzania and Pakistan. It evaluates the whole programme architecture: Fiscal targets, debt limits, energy pricing, public-investment assumptions, state-owned enterprise measures, and sectoral conditionality.

Five main findings emerge:

1. Climate diagnosis has advanced considerably, but its influence on programme design remains partial.

IMF staff increasingly recognise physical climate shocks, transition risks and nature loss as macro-critical, and have developed tools to model disasters, adaptation investment and mitigation policies. Yet these analyses often remain detached from the assumptions governing

lending programmes. Ecuador's detailed estimates of oil-transition and climate risks, for example, are not systematically incorporated into its formal debt baseline, while Tanzania models physical climate shocks in detail but subjects its prospective liquefied natural gas (LNG) strategy to no comparable transition-risk assessment. Across the cases, climate change is more often modelled as a shock to the existing development path than treated as a reason to reconsider that path.

2. Balance-of-payments adjustment continues to depend heavily on extractive sectors. Across the cases, IMF programmes rarely instruct governments explicitly to expand extraction, including for fossil fuels. But this dependence is embedded in assumptions about exports, foreign investment, reserves, and fiscal revenues that allow for debt repayment. Ecuador's programme seeks higher oil revenues while treating copper and gold mining as diversification; the DRC programme relies on copper and cobalt exports and investment; and Tanzania's programme treats prospective LNG production as a major future source of foreign exchange. Egypt's programme anticipates a recovery in gas production, while Pakistan's investment strategy continues to channel foreign investment towards hydropower and coal, alongside renewed offshore oil and gas exploration. In this way, diversification often occurs within extractive sectors rather than away from extractive dependence, leaving countries exposed to commodity volatility, transition risks and ecological degradation.

3. Fiscal adjustment continues to constrain the public investment, social protection, and state capacity required for a just transition. Ecuador's programme envisages a cumulative non-oil primary adjustment of 6.6% of GDP, while capital expenditure has borne a substantial share of previous cuts. In Egypt, the IMF's Indicative Targets include a ceiling of 6% of GDP for public investment, which includes health, education and water, set for a sustained reduction in the public investment-to-GDP ratio. In Pakistan, debt servicing and interest payments absorb close to half of government expenditure while climate-finance requirements run into hundreds of billions of dollars. Social spending floors and targeted transfers provide some protection, but generally function as compensation for the adverse effects of adjustment rather than as integral components of a broader just-transition strategy.

4. Sectoral conditionality is most developed where climate-relevant reforms overlap with fiscal savings, cost recovery, export earnings and private investment. Electricity reform emphasises tariffs, utility finances and investor participation; mining reforms focus on governance, fiscal regimes and investability; and fossil-fuel sectors remain important sources of revenues and foreign exchange. By contrast, programme engagement is thinner where climate action requires substantial public investment, constraints on extraction, or direct protection of forests, ecosystems, and vulnerable communities. The result is that the density of conditionality tends to follow sectors' economic significance more closely than their ecological significance.

5. The RSF has increased climate attention, but has not resolved contradictions with conventional IMF lending. RSF reforms tend to concentrate on public financial management, climate screening, regulation, and private-finance mobilisation — important institutional measures, but not substitutes for expanded fiscal space or structural transformation. They operate alongside conventional Upper Credit Tranche programmes that continue to determine fiscal balances, debt repayment, and external adjustment. The result is greater procedural integration of climate — through screening, reporting, planning, and regulatory reforms — without equivalent changes in fiscal space, investment, or productive structure.

The overall picture is therefore one of **partial climate mainstreaming at the analytical level, without a corresponding reorientation of IMF adjustment policy**. The Fund now possesses more sophisticated tools for recognising climate-related macroeconomic risks, but these are applied unevenly and do not consistently alter the underlying development models through which countries are expected to restore stability. Unless climate considerations reshape fiscal space, debt analysis, external adjustment and sectoral priorities, the distance between the IMF's climate ambitions and its lending practices will remain substantial.

Recommendations to the IMF Executive Board

The ongoing Review of Conditionalities and Program design should:

1. Articulate clear principles and practical guidance for incorporating climate related considerations into Upper Credit Tranche (UCT) programme design
2. Ensure all IMF lending is consistent and does not undermine the Paris Agreement goals and other international agreements
3. Institutionalise mandatory ex-ante and ex-post distributional, gender and climate impact assessments of programme policies and conditionality
4. Strengthen guidance on assessing macro-critical risks associated with major investment projects

Recommendations to IMF Management

1. Ensure the elaboration of the guidance notes after the Review of Conditionalities and Program Design includes consultations with civil society organisations
2. Apply a 'do no harm' approach and move beyond procedural reforms towards assessing structural transformation
3. Assess macroeconomic assumptions underpinning major investment projects



"Texaco's signature" oil pollution in Lago Agrio, Ecuador, a reminder of the lasting environmental costs of extraction. Photo by Julien Gomba on Flickr, 2007.

1. IMF lending in the debt–climate polycrisis

Since 2020, the IMF has extended roughly \$400bn in financing to nearly 100 countries, much of it through emergency lending during the Covid-19 pandemic.¹ The scale of this reliance on the Fund reflects the position from which many low- and middle-income countries entered the 2020s: High debt burdens, thin fiscal buffers, and high exposure to external shocks. Subsequently, a confluence of factors has increased balance-of-payments pressures and constrained public spending: From the pandemic and repeated climate-related disasters, to geopolitical events like the wars in Ukraine and Iran which rattled global food and energy markets. Recent estimates by the United Nations reveal that countries in Asia, Africa and Latin America's external debt reached \$11.4tn in 2023, equivalent to 99% of export earnings, while rising interest payments have forced governments to allocate scarce revenues to debt service rather than to essential public investment in development and resilience.² The revenue

side of adjustment has compounded these pressures. Governments have increasingly turned to indirect taxes on food and other essentials and to levies on oils and gas, instruments whose incidence falls disproportionately on poor households and which have contributed to pushing additional segments of the population into poverty.

Thus, the role of the IMF as a lender of last resort has returned to the forefront, and its significance as a major actor in shaping the development policies of countries that turn to it for financial assistance has been reinforced. In the current macroeconomic context, the Fund has called for fiscal consolidation and structural reforms for countries facing debt problems or difficult financing conditions.³ Such prescriptions are consistent with the organisation's broad outlook on economic policy questions and its long-standing emphasis on fiscal discipline and market-oriented structural reform,⁴ but they put at risk its advertised support for

1 IMF n.d.

2 UNCTAD 2025b.

3 Dabla-Norris, Gaspar, and Poplawski-Ribeiro 2025.

4 IEO 2021; IEO 2025.

countries' green transition trajectories⁵ — a point echoed in recent evaluations of the IMF's work.⁶

The IMF's engagement with climate issues has been a major development for the organisation over the past decade, with the adoption of its Climate Strategy in 2021 marking a turning point.⁷ This stated that climate change had become a major macroeconomic and financial policy challenge facing its members, with implications for fiscal, financial, monetary, and external stability. In IMF language, this was an acceptance that climate change is 'macro-critical', and thus within the mandate of the institution — a formal acknowledgment that came six years after the Paris Agreement. The Fund has subsequently presented its work as helping countries manage these risks by integrating climate considerations into macroeconomic policy design.⁸ The IMF's change of course on climate is taking place under global conditions in which Fund lending has become more consequential (see Box 1). As of July 2026, 30 countries were implementing IMF-supported programmes carrying policy conditionality, of which 11 also had active arrangements under the Resilience and Sustainability Facility.⁹ At least 14 countries were seeking new arrangements amid the balance-of-payments pressures that followed the Iran war.¹⁰

Box 1. Why IMF lending matters

IMF lending is central to debates over the just transition because it shapes the macroeconomic conditions under which climate and development plans are implemented. IMF programmes set fiscal targets, influence public investment, shape energy and subsidy reforms, frame debt sustainability, make assumptions about exports and foreign investment, and signal policy credibility to other creditors and investors.

The Fund's newer climate-focused Resilience and Sustainability Facility (RSF) places environmental concerns more explicitly within IMF lending, but it operates alongside more conventional programmes — known as Upper Credit Tranche (UCT) programmes — that continue to determine the core adjustment path. Where no dedicated climate facility is present, conventional IMF lending can still affect climate policy through fiscal consolidation, energy pricing, debt limits and sectoral advice. IMF programmes also act as gateways to other multilateral financing and, to a lesser extent, bilateral and private finance. Their climate significance therefore extends well beyond the formal content of any climate conditionality.

5 IMF 2021; Gallagher, Rustomjee, and Arevalo 2024.

6 IEO 2025; IEO 2026.

7 IMF 2021.

8 Kentikelenis and Stubbs 2025.

9 IMF 2026b.

10 Recourse 2026.

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As climate risks shape macroeconomic stability, the lending programmes through which the Fund restructures borrowing economies are a key locus where the recognition of the macro-criticality of climate change acquires concrete operational content. This broad policy orientation is — at first sight — in line with international commitments. The Paris Agreement calls for financial flows to be made consistent with low-emission, climate-resilient development,¹¹ and states' obligations under economic and social rights law extend to the design of adjustment programmes.¹² However, the IMF has resisted acknowledging that the Paris Agreement

binds its own operations.¹³ This is borne out by empirical evidence, as previous research by Recourse documented that these international commitments have not been fully operationalised in lending practices in ways consistent with a just green transition.¹⁴ The present report shows how, where, and with what consequences this gap persists: Does IMF lending help countries reduce the structural sources of climate-related vulnerability, or does it 'stabilise' debt-distressed economies through policies and sectors that reproduce carbon- and nature-intensive development?

Answering that question requires attention to the economies in which these programmes operate, because the tension between stabilisation and decarbonisation manifests in the structure of the economies it lends to. Commodity dependence is a defining feature of the countries that borrow from the Fund. The UN Conference on Trade and Development classifies economies as commodity-dependent where commodities account for over 60% of merchandise export value. On this measure, 95 of 143 economies

13 There is a deep disagreement over what Article 2.1(c) of the Paris Agreement requires of the IMF. The provision commits parties to making finance flows consistent with a pathway towards low-emission, climate-resilient development—a formulation that scholarship reads as economy-wide and directional, encompassing public and private flows alike and therefore reaching the operations of the international financial institutions themselves (Zamarioli et al. 2021). The Fund's operational interpretation is narrower, confining alignment to consistency between RSF reform measures and national climate commitments while leaving UCT lending—the far larger share of IMF financing—outside the exercise, and it has made no commitment to render its financing flows consistent with the Paris Agreement, as this may clash with the IMF's own Articles of Agreement that envisage short-term action to bolster macroeconomic stability (Arevalo and Lane 2026). The 2025 provision on contradictory policies illustrates this point. IMF staff are advised against recommending RSF approval where existing policies contradict proposed reform measures, yet the test is consistent with the member's own policies rather than with Paris-aligned pathways. The guidance specifies that fossil-fuel and mining concessions outside protected areas are not necessarily counter to RSF objectives, and the provision applies to RSF arrangements alone, leaving the far larger volume of UCT lending untouched (IMF 2025a).

14 Kentikelenis and Stubbs 2024a; Kentikelenis and Stubbs 2024b.

11 UNFCCC 2015.

12 OHCHR 2019.

in Asia, Africa and Latin America— two thirds of the total, including more than 80% of least developed countries — remained commodity-dependent during 2021–2023, a population of countries that has barely changed over the past decade.¹⁵ This dependence sits uneasily with the climate commitments the Fund has embraced: Where export earnings, fiscal revenues, and external financing rest on fossil fuels, minerals, and other primary commodities, the pathway to macroeconomic stabilisation and the pathway to decarbonisation run through the same sectors.

The Fund's standard narrative is that countries should manage commodity dependence more effectively, restore stability, strengthen policy frameworks, and attract investment to support climate and development objectives.¹⁶ This places climate action within a temporal sequence: Macroeconomic stabilisation first, improved credibility and investment flows thereafter, and more durable climate and development outcomes as a result. The sequence is applied even where climate disasters immediately precede the programme. For instance, Pakistan's 2023 Stand-By Arrangement, agreed within a year of floods that affected some 33 million people and produced damage and losses assessed at over \$30bn, still front-loaded fiscal adjustment ahead of reconstruction and adaptation needs (see case study below).

Further, the IMF's narrative allocates responsibility for the transition predominantly to developing countries in Asia, Africa and Latin America: They have to manage interrelated climate, debt, and commodity shocks, and attract the finance to address them, while the obligations of wealthier states — to provide climate finance at the scale required under the Paris Agreement, to deliver debt relief, to regulate the creditors domiciled in their jurisdictions, and to permit reform of the international tax and debt architecture — recede from view.¹⁷

Against this wider background, this report examines how the constraints and choices embedded in IMF lending operate at country level, as summarised in Box 2. The following section situates these cases within the IMF's evolving climate-lending architecture and the continuing importance of extractive dependence. The subsequent empirical sections assess, in turn, external adjustment, fiscal and debt policy, sectoral reform, and coherence between UCT programmes, RSF arrangements, and claims concerning catalytic climate finance.

¹⁵ UNCTAD 2025a.

¹⁶ IMF 2022a; IMF 2019.

¹⁷ Alami et al. 2023.

Box 2. Approach and case selection

This report evaluates the whole programme architecture of IMF lending. Fiscal targets, debt limits, energy-pricing reforms, public-investment assumptions, state-owned-enterprise measures, and sectoral policies in UCT programmes can shape countries' ability to implement climate commitments as directly as RSF reform measures. The unit of analysis is therefore the full lending package and the fiscal, debt, external, and sectoral frameworks connecting its components. Taking the Fund's recognition of climate, transition, and nature-related risks as macro-critical as its starting point, the report assesses whether programmes incorporate these risks into external, fiscal, debt, and growth analysis while preserving the policy space required for climate-resilient development.

The expectation is not that every IMF programme would resolve all climate and development challenges, but that it should not restore short-term stability in ways that deepen vulnerabilities the Fund itself recognises as macro-critical. The comparison examines four dimensions of programme design: External adjustment; fiscal space and debt sustainability; climate-relevant sectoral policy; and coherence between UCT conditionality, RSF measures, debt analysis, and financing assumptions.

The evidence base consists primarily of IMF programme documents, including staff reports, programme reviews, Letters of Intent, Memoranda of Economic and Financial Policies, Technical Memoranda of Understanding, RSF documentation, and debt sustainability analyses. Article IV consultation reports and Selected Issues Papers are included where their analysis informs the assumptions or design of a lending programme. These materials are read alongside national climate and development documents, including Nationally Determined Contributions, adaptation plans, energy strategies, development plans, and biodiversity commitments. The analysis is complemented by academic and civil-society evidence.

The empirical analysis covers Ecuador, Egypt, the Democratic Republic of the Congo, Tanzania, and Pakistan, summarised in Table 1. The cases were selected to compare different combinations of IMF lending, climate vulnerability, debt pressure, and extractive-sector exposure. Further, the cases encompass different forms of extractive dependence, including for fossil fuels. Ecuador remains dependent on oil while expanding large-scale mining. Egypt combines fossil-fuel exposure, carbon-intensive industry, water stress, and substantial external financing requirements. The Democratic Republic of the Congo occupies a central position in global copper and cobalt supply chains while containing globally significant forests and peatlands. Tanzania combines gold dependence with hydropower exposure, land-use pressures, and plans for large-scale LNG development. Pakistan faces extreme physical climate vulnerability alongside energy-sector debt, fossil-fuel dependence, water stress, and large adaptation and reconstruction needs.

Table 1. Case-study overview

Country	IMF loan(s)	Programme period(s)	Debt-risk classification	Climate vulnerability (rank out of 190)	Main climate- relevant sectors covered
Ecuador	Extended Fund Facility	May 2024–May 2028	Moderate	120	Energy (oil, hydropower, and renewables); mining; forests and land use
Egypt	Extended Fund Facility and RSF	EFF: Dec 2022–Dec 2026 RSF: Mar 2025–Dec.2026	High	106	Energy; water; carbon-intensive industry, climate public investment
Congo, Dem. Rep.	Extended Credit Facility and RSF	Both: Jan 2025–Mar 2028	Moderate	185	Mining (copper and cobalt); forests and peatlands; electricity and clean cooking
Tanzania	Extended Credit Facility and RSF	ECF: Jul 2022–Jul 2026 RSF: Jun 2024–Jul 2026	Moderate	135	Energy (electricity, hydropower, and LNG); forests and land use; agriculture and water
Pakistan	Extended Fund Facility and RSF	EFF: Sep 2024–Oct 2027 RSF: May 2025–Oct 2027	High	147	Energy (electricity, coal, LNG, and solar); water and agriculture; disaster-resilience infrastructure

Notes: Programme period refers to the most recent IMF arrangements, which receive the greatest attention in each case study; earlier IMF programmes and emergency financing since around 2020 are also examined. Debt-risk classifications are from the latest available IMF debt-sustainability assessments. Climate vulnerability is the latest Notre Dame Global Adaptation Initiative (ND-GAIN) rankings; a higher rank indicates greater vulnerability and/or lower readiness. Sectors listed are the principal climate-relevant sectors covered and are not exhaustive.

Building on this empirical material, the analysis considers whether the IMF's lending architecture helps countries move beyond extractive dependence, or entrenches a form of 'carbon shock therapy'¹⁸ in which debt-stressed economies are repeatedly stabilised through austerity, extractive foreign investment, and promises of private finance.

Fully referenced case studies accompanying this report are available on the Recourse website.

¹⁸ Gabor and Braun 2025.



A truck transporting goods in Lubumbashi, Democratic Republic of the Congo, reflecting the central role of commodities in the country's economy and its dependence on extractive exports. Photo by Guylain Kipoke on Pexels, 2026.

2. IMF lending and extractive dependence

The institutional landscape of IMF climate work has changed since the adoption of the Fund's Climate Strategy in 2021. The creation of the RSF — discussed in Box 3 — brought climate policy most directly into lending by providing longer-maturity financing for reforms intended to reduce risks to longer-term balance-of-payments stability. In 2026, the IMF's Independent Evaluation Office concluded that the Fund's engagement with climate change had developed slowly and unevenly, but that lending had become more central following the establishment of the RSF.¹⁹

The Fund's analytical toolkit for assessing how climate change affects macroeconomic outcomes has expanded alongside these institutional changes.²⁰ For example, the revised debt sustainability framework for market-access countries includes a climate module that can examine adaptation investment, mitigation policies, and climate-related shocks, while the Fund has also

developed tools such as the Debt-Investment-Growth and Natural Disasters (DIGNAD) model²¹ to assess the macroeconomic effects of natural disasters and adaptation investment. Other tools, like the Climate Policy Assessment Tool²² (CPAT) and the IMF-ENV model,²³ can assess the fiscal, emissions, and distributional effects of mitigation policies such as carbon pricing, renewable-energy support, and fossil-fuel subsidy reform. The existence of this toolkit reduces the plausibility of treating climate risk as analytically external to IMF lending and raises the bar for lending practice. But it does not by itself ensure that climate risks are embedded in programme design. As the report will show, across the cases examined, the transmission of IMF analyses into lending design remains uneven.

19 IEO 2026; Arevalo and Lane 2026; Gallagher, Rustomjee, and Arevalo 2024.

20 Mitra et al. 2025.

21 Marto, Papageorgiou, and Klyuev 2018.

22 Black et al. 2023.

23 Chateau et al. 2025.

Box 3. The establishment and operation of the Resilience and Sustainability Facility

Established in 2022 and financed through Special Drawing Rights channelled by countries whose reserve and balance-of-payments positions are strong enough to on-lend them — in practice mainly advanced economies and a few large emerging markets — into a new Resilience and Sustainability Trust, the RSF provides long-maturity, comparatively affordable financing for reforms that address longer-term structural challenges, principally climate change and pandemic preparedness. Access requires a concurrent Upper Credit Tranche-quality arrangement, debt assessed as sustainable or on track to become so, and adequate capacity to repay the Fund. Conditionality takes the form of 'reform measures' concentrated on fiscal institutions, public financial and investment management, energy pricing, financial-sector regulation, and the mobilisation of climate finance. Consistent with the monetary character of Fund operations, the facility does not provide project finance for specific adaptation or mitigation investments. Between 2022 and mid-2026, the IMF approved 26 RSF arrangements totalling \$14.2bn.²⁴

The RSF's operational guidance was updated in 2025, requiring clearer articulation of the balance-of-payments rationale for each reform measure and introducing a provision that advises against RSF loan approval when a potential borrower has in place policies that contradict proposed RSF reform measures.²⁵ The joint World Bank–IMF guidance for low-income country debt sustainability analyses acquired a 2024 supplement on incorporating climate change, climate-related investments, and climate policies into debt risk assessments.²⁶ And work by IMF staff has expanded the reach of climate-related analysis—for example, by establishing the macro-criticality of water resources,²⁷ and addressing the macrofinancial risks of nature loss.²⁸

Across RSF loans approved from the beginning of the facility's operation, reform measures have concentrated most heavily on fiscal policy, followed by sectoral reforms, taxes, and subsidies, banking-sector reforms, institutional measures, and private-sector mobilisation.²⁹ The largest cluster of reform measures concerns public financial management, public investment management, and climate-related budget processes; other measures seek to alter sectoral regulation, energy pricing, financial supervision, legal frameworks, and the enabling environment for private climate finance. The RSF has therefore brought climate more directly into IMF lending, but largely through reforms that reshape policy frameworks and investment conditions, and not through support for scaled-up public financing for adaptation, mitigation, or green industrial transformation.

The focus on reform measures also needs to be read alongside the UCT programmes with which RSF arrangements are normally paired. These programmes constrain public investment, prioritise debt repayment and rely on export or investment assumptions that remain exposed to climate and transition risks.³⁰ Recent IMF Independent Evaluation Office research showed that across a sample of RSF programmes with concurrent UCT programmes, two-thirds of the UCT arrangements envisage consolidation in the overall fiscal balance, and about two-thirds project a reduction in primary spending over the programme period.³¹ These findings echo earlier research by Recourse.³² Given such evidence, the Independent Evaluation Office concluded that the UCT arrangements may make fiscal space for investments in the just transition difficult to sustain, even where the RSF aims to facilitate climate-related spending.³³

24 Canseco, Gentle, and Verdía 2026.

25 IMF 2025a.

26 IMF and World Bank 2024.

27 Suphachalasai et al. 2025.

28 Gardes-Landolfini et al. 2024.

29 Kentikelenis and Stubbs 2025.

30 Kentikelenis and Stubbs 2023.

31 Arevalo and Lane 2026.

32 Kentikelenis and Stubbs 2024b and 2024a.

33 Arevalo and Lane 2026.

These institutional and analytical developments operate inside a lending architecture whose core adjustment path continues to be determined by conventional programmes. RSF reform measures coexist with UCT conditions and quantitative targets governing fiscal balances, reserves, public debt, public investment, state-owned enterprises, energy pricing, and structural reform.³⁴ The RSF is intended to address longer-term resilience risks, while the accompanying UCT arrangement remains primarily concerned with near-term external adjustment, debt-service capacity, and the restoration of creditor and investor confidence. These tensions are visible in the case studies: Egypt, the Democratic Republic of the Congo, Tanzania, and Pakistan have climate-focused reform measures layered onto UCT programmes that continue to determine their main fiscal and external parameters. For countries without an RSF, institutional guidance is weaker: Around 70% of IMF staff surveyed by the IEO reported that climate issues were either not incorporated or only slightly incorporated into UCT programmes, and that they had received little or no guidance on how to integrate them.³⁵

These limitations are especially consequential in commodity-dependent economies. Extractive sectors are understood here to include oil, gas and mining, together with forms of forestry and land use that deplete natural stocks or ecosystems faster than they regenerate. Dependence on these activities has both environmental costs and economic implications, as it shapes the export earnings, fiscal revenues, foreign investment, sovereign financing conditions, and the balance-of-payments gaps around which IMF programmes are constructed. Commodity dependence generates three connected risks.

First, commodity dependence exposes countries to recurrent external shocks that operate already under present conditions: Commodity markets are structurally volatile,³⁶ and geopolitical disruptions — of which the disruption of flows through the Strait of Hormuz is only the most recent instance — transmit directly into export receipts, import bills and reserves. The global energy transition adds a further layer of prospective risk, as IMF analysis of fossil-fuel exporters recognises that decarbonisation will affect exports, fiscal revenues and investment, with greater risks for less diversified economies.³⁷ All this directly affects a country's balance-of-payments situation: Changes in fossil-fuel export receipts affect the current account, while changes in foreign investment in fossil-fuel sectors affect financial-account inflows. In countries with large external debt service obligations, declining fossil-fuel exports may increase sovereign risk premia and raise the cost of refinancing.³⁸ Even beyond fossil fuels, sectors such as mining, forestry and other primary commodities can generate similar vulnerabilities through price volatility, environmental degradation and exposure to changing trade rules.

A programme that relies on commodity exports or extractive foreign investment can therefore relieve an immediate external constraint while increasing exposure to later shocks. The five cases represent different forms of this problem. Ecuador remains dependent on oil while treating mining as a route to diversification. The DRC relies overwhelmingly on copper and cobalt exports. Tanzania combines gold dependence with plans for large-scale LNG development. Egypt faces a deteriorating gas position and exposure in carbon-intensive export sectors. Pakistan confronts high energy-import dependence alongside severe physical

34 Kentikelenis and Stubbs 2023.

35 Arevalo and Lane 2026.

36 UNCTAD 2025a.

37 Puyo et al. 2024.

38 Ibid.

climate and water risks. The later empirical analysis elaborates on the very limited incorporation of these vulnerabilities into programme assumptions.

Second, debt and financing pressures can lock countries into development models relying on extractive sectors. Where debt service absorbs public revenue and external financing is scarce, governments face strong incentives to expand concessions, relax environmental safeguards or offer highly favourable terms to investors.³⁹ Climate policy may then be narrowed to interventions that improve investability, secure foreign exchange, or generate near-term fiscal revenue, rather than measures that build domestic productive capacity or reduce dependence on volatile commodity sectors.⁴⁰

In this context, diversification may take place within the extractive sectors. For example, Ecuador's programme presents copper and gold mining as a route away from oil dependence, while reforms in the DRC seek to deepen the country's role in copper and cobalt supply chains. Tanzania's proposed LNG development reflects a similar dynamic, with a new extractive industry framed as a prospective source of exports and investment rather than assessed primarily in terms of long-term transition exposure. This is evidence of economic diversification that bypasses the need for change to the underlying reliance on external demand and foreign capital.

Third, dependence on extractive sectors weakens the ecological foundations of macroeconomic stability. The economy is embedded in and dependent on nature, and nature loss can generate macroeconomic and financial risks through the degradation of ecosystems, lower productivity, asset revaluations and financial-sector exposure.⁴¹

Thus, forestry, land use, water systems and biodiversity shape growth prospects, while land-use change through industrial and agricultural activity is a major driver of biodiversity loss and water stress. IMF lending programme design that treats land, forests, water or mineral resources primarily as sources of export revenue or destinations for private investment risks undermining the ecological conditions of long-term economic stability, and thus the IMF's mandate for country support.

Yet this expanding analytical recognition does not necessarily bind operational practice. Analyses published in 2024 acknowledge both the macroeconomic risks of the energy transition for fossil-fuel exporters and the macrofinancial risks associated with nature loss.⁴² These analytical contributions do not bind operational practices, however, and they sit alongside surveillance and programme work that leaves the extractive sectors' baseline intact. The case of forests illustrates this. Where the Fund engages with forests, it does so predominantly through a climate and carbon-sink lens rather than through the wider biodiversity and ecosystem functions on which economic activity depends.⁴³ Meanwhile its debt sustainability frameworks, which now contain modules for natural disasters and transition risks, incorporate natural resources principally as streams of fiscal revenue and export earnings, with no treatment of the degradation of the underlying ecological asset.⁴⁴ The consequences are visible in lending practice: Of 35,915 conditions attached to IMF arrangements in low- and middle-income countries between 1980 and 2019, only 34 pertained explicitly to forest management. IMF programmes from 2000 to 2020 were associated with a 9.2% increase

39 Ibid.; IEO 2026; Arevalo and Lane 2026.

40 Prasad et al. 2022; Cherif, Hasanov, and Xie 2026.

41 Gardes-Landolfini et al. 2024.

42 Puyo et al. 2024; Gardes-Landolfini et al. 2024.

43 Mitra et al. 2025.

44 IMF 2022b.

in annual tree cover loss, driven by the fiscal and external-sector reforms at the core of programme design.⁴⁵

Subsequent empirical sections examine the gap between climate recognition and operational reorientation by focusing on whether climate considerations alter how external financing gaps are closed, which expenditures are protected, which sectors are promoted, and whether UCT programmes and RSF measures point in the same direction.



Communities navigate floodwaters in Sindh Province, Pakistan, following the devastating 2022 floods. Photo by Alternative Law Collective, 2022.

45 Forster, Bhandary, and Gallagher 2026.



Dar es Salaam Port, Tanzania, a key gateway for regional trade and commodity exports. Photo by Rob Beechey / World Bank on Flickr, 2014.

3. Balance-of-payments gaps and adjustment based on extractive sectors

IMF lending is formally organised around external financing needs, so the analysis begins with how programmes define the external gap and how they expect it to be closed. Climate alignment requires attention not only to immediate foreign-exchange shortages, but also to the prospective external pressures created by physical climate shocks, adaptation needs, and transition risks, all of which have follow-on macroeconomic effects. IMF analysis already recognises these channels for fossil-fuel exporters, where the global energy transition can affect exports, fiscal revenues, investment, and debt dynamics.⁴⁶ Comparable vulnerabilities can also arise in countries dependent on mining, forestry, or other primary commodities.

Across the five cases, the programmes close or manage external financing gaps through policy prescriptions that remain heavily dependent on extractive

exports. Programme documents rarely instruct governments directly to expand extraction. Reliance on extractive sectors is instead embedded in export and revenue projections, assumptions about foreign direct investment (FDI), quantitative reserve targets, infrastructure plans, and expectations about how current-account deficits will narrow.

These assumptions take different forms, but they share a tendency to treat extractive sector performance as part of the solution to external imbalance. Ecuador's 2024 programme, introduced against a projected \$4bn financing gap widened by lower oil revenues, carries commitments to increase net oil revenues through private investment and refinery capacity, and treats copper and gold mining as the diversification strategy, broadening the extractive base beyond oil.

In the DRC, where copper alone accounts for 78.4% of exports and mining for over 90% of export earnings, the current account is projected to narrow as import-intensive

46 Puyo et al. 2024.

mining projects mature, so that external adjustment depends on continued mining exports, mining FDI, and a 60% export-receipt repatriation requirement that manages commodity dependence at the level of foreign-exchange liquidity.

Tanzania's LNG development is seen by the IMF as a transformative but uncertain future adjustment path — one whose construction phase is expected to be around 80% import-intensive, widening the current account deficit by some \$6.5bn a year before any export gains arrive, and whose long-run viability under global decarbonisation the programme documentation does not assess.

Egypt's macro-framework banks on a recovery in gas output even as the country has become an energy importer, and its RSF disbursements appear in the programme's own financing tables as foreign-exchange reserves.

In Pakistan, the search for investable sectors channels FDI toward hydropower and coal, with offshore oil and gas exploration framed as a new frontier and coal gaining renewed prominence after the closure of the Strait of Hormuz.

Resource-backed and infrastructure-linked external financing forms a second, less visible layer of this dependence, and the programmes engage it unevenly. Ecuador's history of Chinese oil-backed lending linked crude oil sales to external debt obligations. The September 2022 reprofiling of debt owed to Chinese policy banks provided substantial debt-service relief and secured more favorable terms for the associated oil-sale contracts, although oil-linked arrangements remained in place.

In the DRC, the same logic operates through Sicomines, the 2008 joint venture under which Chinese state-owned enterprises finance infrastructure construction in exchange for equity in copper and cobalt concessions, with repayment serviced from mine revenues. The 2025 Extended Credit Facility (ECF) ties

the phasing of budget support to satisfactory progress on Sicomines-linked investments with a benchmark requiring quarterly publication of project payments (a governance improvement linked to the expansion and export of copper and cobalt). At the same time, the external-sector implications of infrastructure corridors and strategic-minerals partnerships, including the Lobito Corridor's export infrastructure, receive little systematic attention.⁴⁷ Tanzania is similarly positioned as a regional extractive corridor: EACOP would carry Ugandan crude across the country to the coast, while TAZARA rehabilitation would strengthen the route from Zambia's copper and cobalt mines to Tanzanian ports, tying prospective transit and investment gains more closely to regional commodity-export systems.

In Egypt, Chinese-financed megaprojects sit inside the off-budget, state-owned-enterprise perimeter that the programme compresses, yet no programme document names the projects or the creditors behind them. The broader pattern emerging is one where the Fund increasingly disciplines the fiscal management of resource-linked finance while leaving unexamined what such financing does to the structure of the external account it is meant to stabilise.

The analytical treatment of transition risk shows the same asymmetry between diagnosis and design. The Fund's own analysis of fossil-fuel exporters identifies the channels through which the global energy transition affects producing economies,⁴⁸ and in Ecuador this analysis is fully quantified: Global oil demand is expected to fall 4–29% by 2040, implying a 10–20% decline in exports and a 13–26% decline in fiscal revenue, with stranded-asset risk applying

47 AFREWATCH and Fern 2026.

48 Puyo et al. 2024.

to 8.3 billion barrels of reserves. Yet none of this is translated into a near-term strategy to reorient external-sector planning.

For transition minerals,⁴⁹ rising global demand — a possible fivefold increase for copper and cobalt by 2040 — is treated as an export opportunity to be governed well, with the DRC framed as a 'solution country', while commodity dependence of goods whose demand is expected to grow as the energy transition accelerates goes unassessed as a balance-of-payments risk of its own. Forests receive policy attention through governance and transparency measures, but deforestation — driven in the DRC by mining and oil exploration that opens forest to settlement, agricultural expansion, and charcoal production for household energy — is not treated as the macro-critical external issue that the country's carbon-sink framing would imply. And spillover transition risks, in which decarbonisation policies adopted elsewhere arrive as external shocks,⁵⁰ appear only where they are already unavoidable: Egypt faces the second-largest Carbon Border Adjustment Mechanism (CBAM) exposure⁵¹ (this refers to the EU mechanism that applies a carbon-price adjustment to the embedded emissions of covered imports), and its single hard transition measure obliges its banks to monitor compliance with a European border instrument, with no measure addressing the export revenue lost. Further, Ecuador's documents flag border carbon adjustments and increasingly stringent deforestation-free trade requirements, including those introduced by the European Union, as potential risks to its agricultural export base; and Tanzania's LNG strategy is subjected to no transition-risk test at all.

This comparative analysis yields three main take-away messages. First, the diagnosis of climate-related external vulnerability has genuinely advanced. In Ecuador and the DRC especially, staff analysis treats climate shocks as materialising through export bases, energy systems, and reserves. Second, this diagnosis enters programme design as shocks to an extractive baseline rather than as reasons to reassess the baseline itself: Adjustment continues to run through hydrocarbon performance, mining exports, and extractive FDI, with physical risks modelled in increasing detail while transition risks remain unquantified despite their implications for adjustment strategies. Third, balance-of-payments adjustment remains focused on short-term external stabilisation: In seeking this as a primary objective, programmes thus reinforce export structures through which later shocks are likely to arrive.

49 For example, copper, cobalt, lithium, nickel and the other mineral inputs to batteries, grids and renewable generation.

50 Gallagher et al. 2021.

51 IMF 2025b



Market commerce in Egypt. Photo by IMF Focus | Commerce on Flickr, 2021.

4. Fiscal adjustment, public investment, and social protection

Climate-resilient development requires public investment, social protection, and state capacity, and these are shaped by the fiscal framework of IMF programmes. This raises the question of whether programmes preserve space for climate-relevant spending, or whether fiscal consolidation compresses the expenditures needed for meeting national climate commitments. These trade-offs have been recognised by the IMF's Independent Evaluation Office, which called on staff to be explicit about the effects of adjustment on growth and longer-term development objectives.⁵²

The size and pace of adjustment vary considerably across the five case studies. At the heavier end, Ecuador's 2024 Extended Fund Facility (EFF) raised the cumulative non-oil primary adjustment target to 6.6% of GDP from 2024 to 2028, a path IMF staff themselves acknowledged was ambitious. In Egypt, cutting public investment is an IMF

Indicative Target (IT). The IMF programme monitors an explicit ceiling on public investment, set for "a sustained reduction in the public investment-to-GDP ratio".⁵³ The spending adaptation depends on is capped by target Investment gets a ceiling; social spending gets a floor. In Pakistan, total debt servicing and markup payments account for nearly half of total government expenditure, exceeding the combined budgets for health, education, and environmental protection many times over. In contrast, Tanzania and the DRC have lighter and more flexible deficit targets in the face of shocks. Even so, these fiscal frameworks systematically prioritise debt service and gaining creditor confidence over any other spending areas.

A closer look at the composition of adjustment reveals the spending priorities sanctioned by the IMF. In Ecuador, capital expenditure accounted for 3 percentage points of the overall 4.3-point decline in spending

⁵² IEO 2025.

⁵³ IMF 2026a.

by 2022 — compressing infrastructure and local investment — while the programme explicitly envisaged protecting investment in the oil sector given its revenue and export importance.

Social spending floors existed across the cases, but what these actually covered varied extensively. Tanzania's priority social spending rose from 5.5% to 7.2% of GDP, with a substantial share of the increase going to non-core social spending (the IMF's classification includes spending on rural roads and electrification), while health and education stagnated as shares of GDP and social assistance remained a small fraction of the East African Community average. In the DRC, spending on three core health programmes reached only 71% of the indicative floor by September 2025, stalled by procurement and cash-flow constraints. In Egypt, compensation for fuel-price increases amounted to a token 0.4% of GDP against savings of roughly 0.7 points, while inflation exceeded the ceiling the programme set in three out of seven reviews.

These findings echo previous suggestions that programmes should explicitly articulate the trade-offs between fiscal sustainability and long-term spending needs,⁵⁴ and that low institutional depth reforms should not be treated as evidence of economic transformations.⁵⁵ In Pakistan, during the IMF programme, the overall budgetary allocation of the Public Sector Development Programme (PSDP) allocation has fallen from 1.096tn Pakistani rupees in FY25 to 820bn in FY26.⁵⁶

The revenue side of adjustment is similarly selective. While households absorb higher indirect taxes and subsidy withdrawals (Pakistan's removal of tax exemptions on food products offers a case-in-point), tax

advantages to extractive sectors and foreign investors persist. Egypt's programme demands revenue expansion while Chinese-financed heavy industry operates under a tax-exempt special-investor regime in the Suez zone that erodes the country's tax base.⁵⁷ Similarly, the DRC loses close to half of its potential mining revenues to weaknesses in export valuation, with the country's Court of Auditors finding \$16.8bn in underreported revenue between 2018 and 2023⁵⁸ — losses that dwarf the fiscal gains of subsidy reform, and which conditionality addresses through contract publication, SOE audits, and the restoration of VAT on mining imports. Alternative financing channels, meanwhile, relocate the fiscal constraints: Ecuador's debt-for-nature swaps tie conservation finance to creditor-influenced frameworks and ring-fenced special-purpose vehicles outside the budget, and Tanzania's supplementary budget of 0.4% of GDP — accommodating adaptation programmes and the fallout of interrupted USAID operations — merely paused consolidation for a year.

Energy subsidy reform is where adjustment, distributional concerns, and climate policy intersect most sharply. The Fund's framing of this issue is consistent with its past stance: Subsidies are seen as costly, regressive, and environmentally harmful.⁵⁹ To be sure, there are major fiscal stakes in reliance on these subsidies. For example, Ecuador's below-market fuel pricing carried an opportunity cost of some 2.7% of GDP in 2023. But the incidence of reform reveals the limits of these policies. In Egypt, across four indexation rounds, the premium grade fuel used by wealthier drivers rose slowest while diesel — the fuel of minibuses, shared taxis, and freight — rose fastest. Because diesel is also an economy-wide intermediate input, these increases transmit into transport and

54 Ibid.

55 Kim and Lee 2021.

56 Ministry of Planning, Development & Special Initiatives 2026, 6.

57 Xinhua 2026

58 Adombila and Rolley 2025.

59 Clements et al. 2013; Black, Parry, and Vernon-Lin 2023; Diab 2023; FES 2023.

food costs where households have few substitutes — so that the progressive rationale failed in implementation, with gendered and intersectional burdens falling on those dependent on public transport.

These distributional effects are only one dimension of the problem: Programme design also determines which sources of energy-sector fiscal pressure are made subject to adjustment, and which are left comparatively untouched. A related asymmetry is visible in Pakistan's electricity sector, where programme conditionality concentrates adjustment on certain sources of fiscal pressure: The focus is on containing circular debt principally through tariff cost recovery, subsidy reduction, the privatisation of distribution companies, and the migration of captive power users onto the grid. However, another important source of sectoral liabilities — legacy contracts with independent power producers and the associated capacity payments, including payments for idle generation capacity — receives much less attention. Adjustment is therefore concentrated on consumer subsidies, tariffs, and distribution-company finances, while contractual liabilities on the producer side are less directly addressed.

Distributional effects also shape which subsidy reforms prove politically and administratively feasible. In Ecuador, broad fuel-price reforms were repeatedly reversed following protests in 2019 and 2021–22, and more recent reforms have instead targeted narrower producer groups, including large shrimp farms, mining companies and industrial electricity users.

A similar pattern appears in the DRC, where excluding mining companies from diesel subsidies proved more administratively tractable than raising household fuel costs in a context of limited capacity to compensate affected households. Across the cases, social protection is therefore used primarily to compensate households for the adverse distributional effects of adjustment, instead of being treated as an integral component of a broader just-transition strategy.

Evidence of protected climate-relevant spending is thin. Ecuador financed emergency electricity-crisis spending through reprioritisation within the limits of its IMF programme; Pakistan's estimated climate-finance needs of \$259–273bn over 2025–2031 confront a consolidation path that shrinks real development expenditure; and Egypt's adaptation measures are the weakest, least funded, and most delayed elements of its RSF. The pattern conforms to the forward transmission channel identified in a recent study of debt sustainability by the Convention on Biological Diversity secretariat, showing that elevated interest burdens compress discretionary fiscal space, adjustment requirements disrupt multi-year planning, and environmental expenditure — described as “typically discretionary, institutionally fragmented, and lacking strong political protection” — absorbs disproportionate cuts.⁶⁰ The case studies point in the same direction: IMF programmes have made fiscal policy more climate-aware but without making climate considerations an integral part of fiscal frameworks.

60 UNEP Convention on Biological Diversity 2026.



Gas flaring at an oil drilling site on the Napo River, Ecuador. Photo by GRID-Arendal on Flickr, 2017.

5. Sectoral policies: energy, water, minerals and forests

Although the IMF is not a development agency, its programmes often shape climate-relevant sectors — like energy, mining, forestry, water, and agriculture — through changes in public investment, state-owned enterprise restructuring, or governance reforms. This means that any evaluation of the climate impact of IMF lending must examine how programmes treat these sectors: As sites of climate-resilient transformation or primarily through their potential to drive fiscal savings or private investment. This focus follows from the IMF's own recognition that sectoral risks can become macro-critical. Its work on fossil-fuel exporters identifies the fiscal and external risks of the global energy transition,⁶¹ while its analysis of nature-related risks shows how ecosystem degradation can affect productivity, asset values, and financial stability.⁶² Similar concerns apply to water stress, land-use change, and mineral extraction.⁶³

61 Puyo et al. 2024.

62 Gardes-Landolfini et al. 2024.

63 Suphachalasai et al. 2025.

Across the cases, the intensity of IMF engagement with climate-relevant sectors follows their economic importance more closely than their ecological significance. Conditionality is most developed where reforms can improve cost recovery, state-owned-enterprise finances, extractive revenues, investor access, or export performance. It is generally thinner where effective action would require substantial public investment, limits on extraction, stronger environmental enforcement, or direct protection of ecosystems and vulnerable groups.

The Fund's analytical guidance counsels exporters to manage transition risks well (e.g. by monitoring fiscal exposure, deciding how to deploy remaining hydrocarbon revenues or diversifying gradually), rather than to reorganise their productive structures away from extraction.⁶⁴ The case studies show this doctrine operating in programme design. For

64 Puyo et al. 2024.

instance, Ecuador's authorities committed to increase net oil revenues through private investment and refinery capacity, with conditionality directed at Petroecuador aiming to improve its governance and investability, even after the Yasuní referendum mandated closure of a block accounting for some 12% of output. Tanzania's prospective LNG extraction is positively evaluated in IMF loan documents: LNG appears as a reliable, affordable, and comparatively clean transition fuel and feeds into medium-term export and fiscal opportunities. In the case of the DRC, the Fund treated the 2022 oil-block auction over rainforests and peatlands as a test of climate credibility, but the constraint proved only temporary: The 2025 licensing round covered 52 new and three reactivated blocks across 124 million hectares, met only with RSF screening and disclosure requirements and neglecting any discussion of a possible phase-out strategy. In other words, fossil fuel expansion — insofar as it does not directly contradict RSF objectives — is broadly acceptable.

In energy, the common theme across all five cases is cost recovery and private investment mobilisation, with climate benefits assumed to follow. Ecuador's programme converted private-generation reforms into structural benchmarks, supported twelve renewable projects expected to add 833MW, and required cost-reflective tariffs — sequenced through mining and industrial users first, in a possible nod to limiting adverse distributional effects. Tanzania's RSF required a long-term power-sector plan aligned with mitigation goals, alongside electricity cost-recovery and environmental-tax reforms. By the final review, however, the power plan had not been accepted as climate-aligned, the tariff methodology remained incomplete, and the environmental tax had not been approved — the latter partly because taxing gas conflicted with government policy to encourage its use. Pakistan shows

a different tension. Imports of some 54GW of solar panels over five years, worth roughly \$18bn, were driven by falling panel prices and net metering; the IMF-backed shift toward higher solar taxation and net billing, intended in part to protect distribution-company finances, may weaken incentives for further decentralised solar expansion.

The limits of this private finance-led model — especially when not coupled by public investment — were apparent in Egypt. Gas-fired generation grew roughly ten times faster than solar and wind over 2020–24, and the renewables share of electricity in 2025 stood below its 2000 level.⁶⁵ Of course, grid reliability and utility viability are enabling conditions for renewable expansion, but the IMF's approach to these questions runs primarily through pricing policies while being silent on the prospect of publicly-led transformations.

Water sector reforms extend the same logic, and offer a follow-up to the Fund's own macro-criticality analysis.⁶⁶ The water reform measures that appear in recent programmes are primarily tariff and utility-performance measures. For example, Tanzania's RSF requires climate-related performance indicators to be integrated into urban water utilities' business plans and tariff structures, and Pakistan's programme adds water tariffs designed to discourage inefficient use on cost-recovery principles, without a distributional impact assessment. Egypt's single water measure entered the reform matrix with its diagnostic reference marked "tbd" and was diluted at the first review into a circular letter and a framework document.

On minerals, the programmes are operationally rich: Ecuador's structural benchmarks reopen the mining cadaster and reform the mining fiscal regime. This happens as five mining projects are expected in the

⁶⁵ OWID. 2026.

⁶⁶ Suphachalasai et al. 2025.

next five years, reducing dependence on oil by deepening reliance on extractive exports more broadly. The DRC's RSF aligns mining regulation with environmental provisions and mandates publication of impact assessments and audits. These reforms are oriented to establishing the DRC as a reliable supplier to global markets, but they are silent on the conditions — armed conflict in the east, child labour, and other human-rights abuses in artisanal cobalt — that make compliance with published standards unlikely in practice. In other words, impact assessments likely coincide with poor domestic enforcement capacity. Further, Tanzania's gold, at 40% of goods exports, is valued as an external buffer. But nowhere do these policies add up to a green industrial strategy for domestic value addition.

On forests, by contrast, conditionality is thinnest. Ecuador, having lost 18% of its natural forest cover since 1990, carries no conditions on deforestation, agriculture, or Amazon governance. The DRC — where the RSF's forest measures are the most concrete among the case studies (e.g. amending the Forest Law, auditing the reforestation fund, and publishing geospatial concession data) — still addresses none of the structural drivers of deforestation, like mining expansion and the livelihood and land-use pressures driving agricultural expansion and charcoal dependence. Tanzania's village land-use reform is potentially significant, as village governments manage nearly half the country's forestland, but IMF conditionality establishes a regulatory framework without hectare targets, dedicated financing, or any dissection of underlying economic pressures.

In sum, even though programmes engage the climate-critical sectors with greater operational detail than they did in the past, the density of conditionality tracks economic — not climate — significance: It is greatest where reform makes extraction more transparent, investable, and fiscally productive, and thinnest where it would protect ecosystems or restrain expansion. This image is consistent with the findings presented above that adjustment programmes designed by the IMF remain anchored in extractive industries. Sectoral conditionality is largely the instrument through which this anchoring is administered.



Using irrigation water for bathing in Egypt. Photo by James Buck on Flickr, 2008.

6. UCT–RSF coherence and catalytic finance

Climate-related reforms cannot be assessed separately from the wider adjustment framework in which they sit. Do different parts of the lending package point in the same direction? This focus is especially important for assessing the relationship between procedural and substantive climate integration. Procedural reforms can improve information and planning, and may be necessary for better climate policy. But they do not by themselves expand investment, reduce carbon- or nature-intensive dependence, or protect vulnerable groups from the costs of adjustment. The analysis thus considers whether RSF measures, UCT conditionality, debt sustainability analysis assumptions, and catalytic-finance claims form a coherent programme for climate-resilient development.⁶⁷

In the four RSF cases, climate reform measures operate alongside UCT conditions, and the two meet through a common fiscal envelope and debt sustainability assessment. The IMF guidance instructs staff to keep

UCT conditions parsimonious and macro-critical but offers no operational direction on integrating climate into UCT design, while the 2025 RSF guidance requires a balance-of-payments rationale for each reform measure.⁶⁸ A programme may therefore strengthen climate planning or screening while constraining the expenditure, financing, or sectoral change required to implement those plans.

Section 4 has shown how fiscal consolidation is still the dominant approach, and that the policy space for fiscal spending the RSF is meant to create is offset by the adjustment running alongside it. For example, Pakistan's RSF operates less as a distinct climate programme than as an extension of existing EFF conditionality, and climate issues in Tanzania and the DRC are layered onto programmes anchored in fiscal consolidation. The treatment of external climate finance — a stated priority for the IMF — generally focuses on gross volumes, without systematic attention

⁶⁷ Diallo et al. 2026; IMF 2022b.

⁶⁸ IMF 2024; IMF 2025a.

to qualitative attributes (like concessionality or destination) of such finance. Ecuador illustrates why these attributes matter: 73% of the financing required by its NDC is conditional on external support, while 79% of finance under its 2015–20 National Climate Financing Strategy came as loans and only 9% was allocated specifically to adaptation. Further, the Fund's own funding structure can increase these contradictions. For example, Egypt is projected to pay SDR3.1bn in charges and surcharges over the programme period, roughly 3.1 times its entire RSF access, making the Fund a net drain on the resources climate lending is meant to supply.

At the intersection of UCT and RSF programme design sits the IMF's debt sustainability analysis framework (DSA). The DSA's modus operandi is to signal solvency and liquidity risk from projected debt and gross-financing-need trajectories. In recent years it has been expanded with climate modules⁶⁹ and a proposed long-term module for climate and development challenges is currently being debated. Even so, the architecture of that apparatus tilts against investments in climate-related measures. The adaptation submodule enters investment as a deterministic fiscal cost while capturing benefits through the simplifying assumption that adaptation exactly offsets climate-related growth losses.⁷⁰ The Fund's own researchers concede that countries investing in adaptation are thereby “inadvertently penalized in their DSAs.”⁷¹ This penalty structure ignores what the Fund's research also shows: Green spending multipliers of 1.1–1.7 for renewable investment against 0.4–0.7 for fossil-fuel investment.⁷² Further, the integration of climate into debt sustainability analyses has been haphazard. An evaluation of all 421 market-access debt sustainability analyses from 2008 to 2024

finds climate absent from the underlying baseline macro-framework.⁷³ According to research by the IMF's IEO, DSAs generally lack sufficient or consistent incorporation of climate-related macrocriticality.⁷⁴

The case studies support these findings. Pakistan's DSA integrated climate risks did not yet trigger the natural-disaster stress test in the 2025 review despite flood warnings, maintained a ‘sustainable’ assessment while its own tools flagged a high likelihood of over-optimism, and carried adaptation estimates of \$21–34 billion over the next five years against Pakistan's NDC estimates of \$23bn *annually*. In the case of Ecuador, its DSA uses standard commodity-price and natural-disaster stress tests and a natural-resources module, but the dedicated climate adaptation and mitigation modules remain inactive. More detailed estimates of warming, weather shocks, sea-level rise and global decarbonisation appear in the Selected Issues paper but are not systematically incorporated into the debt baseline or formal alternative

Against this backdrop, IMF conditions can be read through a distinction between procedural and economic transformational. Procedural greening — diagnostics, reporting, screening, risk frameworks, planning mandates — improves information and may be a precondition for better policy, while transformational greening — expanded investment, fiscal space, sectoral shifts, fossil-fuel phase-down, social protection and green industrial policy — changes what the economy does. The comparative evidence on reform measures shows the weight resting on the procedural side: The largest cluster concerns public financial management, public investment management, and climate-budget processes, followed by sectoral regulation, taxes and subsidies, and financial sector

69 IMF 2022b.

70 Mitra et al. 2025.

71 Ibid.

72 Batini et al. 2022.

73 Laskaridis and Zha 2025.

74 Volz and Wojnilower 2026.

measures.⁷⁵ This is reflected in the case study material (e.g. climate screening and disclosure in the DRC, or water-utility and village land-use planning reforms in Tanzania). Low-depth procedural measures, as the IMF Independent Evaluation Office cautions, should not be read as evidence of green economic transformation.⁷⁶

In terms of the private finance catalysis objective of RSF programmes, the evidence appears thin.⁷⁷ The finance that does arrive is predominantly official; it comes overwhelmingly as loans, adding debt service to countries whose interest burdens already compress climate spending; and its destination skews toward mitigation and bankable energy projects while adaptation — a major priority for Egypt, Pakistan, and the DRC — remains the least funded.

Overall, RSF arrangements add climate attention without resolving UCT contradictions: The facility operates within, and is disciplined by, an adjustment framework that points the other way. In this context, the distance between rhetorical and substantive integration remains wide. While climate vulnerability is now generally identified, climate scenarios, and alternative paths or financing strategies appear rarely and unevenly.

⁷⁵ Kentikelenis and Stubbs 2025.

⁷⁶ Arevalo and Lane 2026.

⁷⁷ Diallo et al. 2026.

7. Policy recommendations

Recommendations to the IMF Executive Board

The ongoing Review of Conditionalities and Program Design should:

1. Articulate clear principles and practical guidance for incorporating climate related considerations into Upper Credit Tranche (UCT) programme design

The IMF's Independent Evaluation Office (IEO) found there is no guidance whatsoever for staff on how to include climate considerations in UCT programme design when considered macrocritical. Revise operational guidance to require that, where climate, transition or nature-related risks are identified as macro-critical, programme documents demonstrate how these findings have informed programme design, macroeconomic frameworks, debt sustainability analyses and conditionality. These principles should ensure programme design does not undermine long-term balance of payment stability or countries' RSF objectives.

2. Ensure all IMF lending is consistent and does not undermine the Paris Agreement goals and other international agreements

Programme approval documents should be required to identify significant tensions between proposed adjustment measures and members' nationally adopted climate, biodiversity and development strategies, including Nationally Determined Contributions and adaptation plans. Where tensions exist, staff should explain how programme design seeks to minimise them and present alternative policy options considered.

3. Institutionalise mandatory ex-ante and ex-post distributional, gender and climate impact assessments of programme policies and conditionality

Assessments should inform programme design and reviews, including the composition of fiscal consolidation. Increased volatility, a weak debt architecture and reduced fiscal space are leading countries to reduce spending in the context of IMF programmes, with capital spending among the first to be cut. Assessments should identify and prevent adjustment measures from undermining climate-related capital spending and other expenditure necessary to meet countries' climate and development objectives.

4. Strengthen guidance on assessing macro-critical risks associated with major investment projects

Clarify that where major investment projects — particularly in sectors expected to underpin programme financing assumptions, exports or fiscal revenues — play a material role in restoring macroeconomic stability, staff should systematically assess associated macroeconomic risks, including transition risks, implementation risks, environmental degradation and social impacts where these are likely to affect fiscal sustainability, external stability or long-term growth.

Recommendations to IMF Management

1. Ensure the elaboration of the guidance notes after the Review of Conditionalties and Program Design includes consultations with civil society organisations

Guidance notes do not formally include a public consultation process. This shortcoming should be addressed in the elaboration of this guidance note in order to ensure a wide breadth of stakeholders can input to the process.

2. Apply a 'do no harm' approach and move beyond procedural reforms towards assessing structural transformation

Consistent with the IMF's recognition that climate is macro-critical, systematically assess whether programme design risks undermining members' long-term macroeconomic resilience. Where programmes include governance, transparency, public financial management or investment climate reforms affecting sectors with significant climate or environmental implications, assess whether these reforms are sufficient to address the macroeconomic vulnerabilities identified or whether alternative measures supporting economic diversification and structural transformation are required

3. Assess macroeconomic assumptions underpinning major investment projects

Where programme frameworks rely on major investment projects to generate future fiscal revenues, exports or foreign investment, assess the robustness of these assumptions by considering transition risks, implementation capacity, commodity price volatility, environmental and social risks where macroeconomically relevant, and consistency with countries' nationally adopted climate, biodiversity and development strategies.

IMF Managing Director, Kristalina Georgieva, meets with Director of the Fund for Congolese Women, Julienne Lusenge, in Kinshasa, DRC. Photo by IMF Photo on Flickr, 2021.



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